

The pattern ranks first or second, which is terrific if we're competing against dozens of other chart pattern types. However, pipes use the weekly charts and the only other bearish chart pattern on that scale is a horn top. The first-place finish in bull markets is actually a tie with horns, too.

Let's take a tour to see what this pattern looks like.

Tour

[Figure 50.1](#) (weekly scale) shows what pipes look like and how they perform. There are three pipes shown in the figure, all of them tops, all warning of an impending trend change. The pipe on the left occurs while price is still rising and acts as part of the consolidation of the trend. However, the pipe is not a pipe at all because the pattern does not confirm—price does not close below the pattern's low before closing above the pattern's high.

The center pipe pattern really marks the turning point for the stock. It towers above the surrounding hillside, and price on either side of it falls away. The resulting pattern looks like an upside-down V.

The pipe on the right is the last one before price really begins tumbling. It flags the last chance to exit an existing position or place a short at a good price. From the high at 39.25, price tumbles to below 13 by the end of this chart—a 67% drop.

Identification Guidelines

[Table 50.1](#) outlines the guidelines for correctly identifying pipe tops, and [Figure 50.2](#) shows an example.